DATA LOCALIZATION

It's Coming. Whether Operators Like It or Not

Here's Which Countries Will Move First, Why, & What Investing Looks Like.

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Data Localization Is Coming

Whether Hyperscalers Like It or Not

Which Countries Will Move First, Why, & What The Investment Opportunities Are

March 21, 2026 | By **JAEMOON LEE** & **AMEN AMARE**

I.

The Structural Case for Data Localization

Data localization is a structural realignment of how nations relate to digital infrastructure — driven by geopolitical fragmentation, the sovereign AI imperative, and the political economy of domestic infrastructure investment. ***The question is no longer whether but when and how fast.***

- **Geopolitical fragmentation is accelerating localization.** The post-2020 environment has fundamentally altered how governments view data flows. The weaponization of financial infrastructure, mass surveillance, and the recognition that AI training data confers strategic advantage have shifted the Overton window. Even the United States has moved in this direction: in early 2025, the Department of Justice finalized rules restricting transfers of sensitive personal data to designated "countries of concern." When the world's largest champion of free data flows begins imposing its own localization requirements, the signal to governments is unambiguous.
- **Sovereign AI has created a new category of strategic asset.** Governments increasingly recognize that allowing domestic data to flow to foreign cloud providers means subsidizing the AI capabilities of other nations. Saudi Arabia's alignment of its data protection law with the Saudi Data and Artificial Intelligence Authority is emblematic.
- **Localization mandates function as industrial policy.** When Nigeria's Central Bank mandates that transaction data must route through local switches, it catalyzes a domestic data center industry. The same logic applies across the Gulf, Southeast Asia, and East Africa. Localization creates domestic demand for data center construction, technical employment, and energy infrastructure—making it a compelling economic development tool for emerging-market governments.
- **The numbers confirm the trend.** Between 2017 and 2025, the number of active data localization controls worldwide more than doubled, rising from approximately 67 to over 140. The number of jurisdictions enforcing controls expanded from 35 to 62. The trajectory is accelerating, not decelerating.

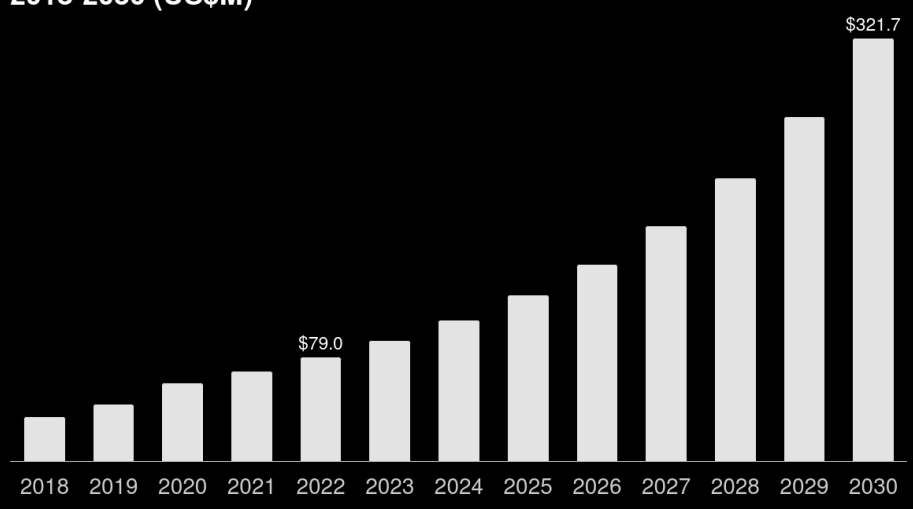
II.

Regulatory Taxonomy:Four Tiers ofLocalization

This brief classifies 40 jurisdictions into 4 tiers based on the likelihood, timeline, & specificity of localization mandates, designed to be actionable for infra investors & sovereign clients.

- **Tier 1 — Active / Enacted (5 jurisdictions):** China, Russia, India, Vietnam, and Saudi Arabia have binding, enforceable mandates in effect. China's regime, anchored in the Cybersecurity Law and PIPL, is the most comprehensive. India's layered approach combines the DPDPA with sector-specific RBI and SEBI mandates. The Indian data center market is projected to reach $8 billion by 2026 and $25 billion by 2031.
- **Tier 2 — Imminent, 12–24 months (7 jurisdictions):** Indonesia, Nigeria, Turkey, Brazil, Kenya, Thailand, and the UAE have enacted foundational legislation with explicit or strongly implied localization provisions. Indonesia's Government Regulation 71/2019 requires public-sector data to remain local. Nigeria's CBN and NITDA mandates are creating compliance pressure against fewer than 50MW of total capacity.
- **Tier 3 — Probable, 2027–2029 (8 jurisdictions):** Rwanda, Egypt, South Africa, Malaysia, Pakistan, the Philippines, Ghana, and Jordan have enacted data protection laws with localization provisions not yet fully enforced. Rwanda's Law 058/2021 requires in-country storage unless the National Cyber Security Authority grants an exception, yet Rwanda has fewer than 10MW of commercial capacity.
- **Tier 4 — Emerging / Monitoring (20 jurisdictions):** Gulf states, Central Asian economies, additional African markets, South Asian economies, Latin American markets, and Southeast Asian states at earlier stages of regulatory maturity. The African Union's Malabo Convention, effective June 2023, provides a regional framework that will shape national legislation, though only 15 of 55 AU members have ratified it.

India data center infrastructure management market size, 2018-2030 (US$M)



https://www.grandviewresearch.com/horizon/outlook/data-center-infrastructure-management-market/india

III.

Infrastructure Gap: Where CapitalMust Flow

The jurisdictions most aggressively pursuing localization mandates are precisely those with the least domestic data center capacity. This creates the core investment thesis: sovereign-aligned infrastructure in high-momentum, low-capacity markets.

- **Critical Gap Markets (<30MW, mandate active or imminent):** Vietnam, Nigeria, Kenya, Rwanda, Ghana, Pakistan, and Bangladesh. These markets require greenfield development, typically modular or containerized deployments operational in 12–18 months. The combined capacity gap exceeds 500MW, implying $5–7 billion in required capital at ~$10–11 million per MW.
- **Growth Gap Markets (30–150MW, mandates strengthening):** Indonesia, Turkey, Egypt, Thailand, the Philippines, Jordan, and South Africa. These require expansion of existing facilities and secondary hubs outside capital cities. Combined gap exceeds 1,000MW, representing $10–15 billion in required investment.
- **Mature-but-Constrained Markets (>150MW, mandates enacted):** India, Saudi Arabia, UAE, Brazil, and Malaysia have significant capacity but face rapidly growing demand from both localization compliance and AI workloads. India alone is projected to grow from $10B to $25B between 2025 and 2031.
- **Global context:** The global data center market was valued at ~$270 billion in 2025 and is projected to exceed $700 billion by 2034. Nearly 100GW of new capacity will come online between 2026 and 2030, representing ~$1.2 trillion in asset value creation. Data center FDI exceeded $270 billion in 2025 but was concentrated in a handful of developed markets. The localization trend ensures a growing share of demand redirects to emerging markets.

IV.

Investment Implications & Strategic Positioning

The convergence of data localization mandates and AI infra demand is creating a once-in-a-cycle investment opportunity in sovereign-aligned datacenter infra across emerging markets.

1. **First-mover advantage in Tier 2 and Tier 3 markets.** The highest risk-adjusted returns will accrue to operators who establish capacity before mandates are fully enforced. Early entrants benefit from mandated demand, limited competition, and favorable land and power negotiations.
2. **Sovereign cloud as the anchor tenant model.** Governments requiring localization will need sovereign cloud deployments on domestically owned infrastructure. This creates a natural anchor tenant: secure a government cloud contract, build to spec, then lease surplus to private-sector compliance demand.
3. **Modular deployment for speed-to-market.** In critical gap markets, time-to-market is the decisive advantage. Modular architectures deployable in 12–18 months versus 24–36 months for traditional builds are essential.

Operators delivering compliant capacity quickly will command premium pricing during the compliance transition window.

V. Risks & Countervailing Forces

The data localization thesis carries meaningful risks that must be weighed against the structural opportunity.

- **Interoperability frameworks could reduce urgency.** Multilateral efforts including APEC Cross-Border Privacy Rules and bilateral adequacy agreements could provide trusted transfer mechanisms. However, these have historically moved slowly and have not prevented acceleration of national mandates.
- **Hyperscaler lobbying remains a real but diminishing force.** Major cloud providers have successfully delayed or weakened provisions in several jurisdictions. The geopolitical and AI-driven motivations for localization are increasingly overriding commercial lobbying pressure.
- **Implementation gaps persist in Tier 4 markets.** Many jurisdictions lack institutional capacity to enforce mandates effectively. Laws may be on the books but unenforced for years. This argues for careful sequencing of capital, prioritizing markets where enforcement capacity is demonstrably building.

VI. Conclusion

Data localization is not a passing regulatory fad. It is a structural realignment driven by forces that are intensifying, not abating. The jurisdictions moving fastest toward binding mandates are the same jurisdictions with the widest infrastructure gaps.

The global data center sector is in the early stages of a $3 trillion infrastructure supercycle through 2030. The overwhelming majority of capital is flowing to a handful of developed markets. The localization trend ensures that a meaningful and growing share of demand will be redirected to emerging markets where it has never previously existed. Investors who position ahead of this shift will capture the most attractive risk-adjusted returns of the cycle.

The question is no longer whether governments will require data to stay home. The question is which investors will build the homes.

Methodology and Sources

Tier classifications are based on primary analysis of enacted legislation, published regulatory guidance, official government statements, and sector-specific mandates. Infrastructure estimates draw on JLL, Cushman & Wakefield, Structure Research, and DC Byte. Timeline projections incorporate regulatory pipeline analysis and comparative implementation data. All assessments as of March 2026.

The Tatari Institute is the research division of Tatari, producing institutional-grade analysis at the intersection of AI infrastructure, sovereign digital policy, and emerging-market investment. Our research serves sovereign wealth funds, development finance institutions, and infrastructure investors navigating the global build-out of digital infrastructure.